COMPANY UPDATE

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PharmaResearch (214450)

Margin recovery key to medical-aesthetics premium

- **3Q26 preview:** We believe PharmaResearch's 3Q operating profit missed consensus on: 1) won appreciation (which reduced medical tourism spending on Rejuran); and 2) higher costs (tied to expansion of its cosmetics business).
- We maintain our BUY rating and cut our target price to KRW400,000. While growth of the medical device business is slowing, the stock's rerating should hinge on whether the cosmetics business, which is in its early stage of expansion, records operating leverage effects.

▶ AT A GLANCE

BUY

Target price	KRW400,000	51.5%
Current price	**KRW264,000**	
Market cap	KRW2.7t/USD2.0b	
Shares (float)	10,389,648 (65.0%)	
52-week high/low	KRW567,000/KRW258,500	
Avg daily trading value (60-day)	KRW55.6b/ USD42.0m	

▶ ONE-YEAR PERFORMANCE

	1M	6M	12M
PharmaResearch (%)	-18.8	-12.7	-53.4
Vs Kosdaq (%pts)	-14.3	29.8	-48.8

▶ KEY CHANGES

(KRW)	New	Old	Diff
Recommend.	BUY	BUY	
Target price	400,000	500,000	-20.0%
2026E EPS	17,951	20,032	-10.4%
2027E EPS	23,316	26,069	-10.6%

▶ SAMSUNG vs THE STREET

No of estimates	14
Target price	525,000
Recommendation	4.0

※ Rating: 4 < → BUY, 3 = HOLD, 2 > → SELL

WHAT'S THE STORY?

3Q26 preview: We forecast PharmaResearch will report 3Q sales of KRW171.9b (+26.9% y-y, -3.8% q-q) and an operating profit of KRW62.8b (+1.5% y-y, -5.6% q-q; 14% below consensus). The stronger won likely weighed on both domestic and export sales. Its domestic medical-device revenue likely reached KRW60.5b (+5.8% y-y, -6.2% q-q), falling q-q due to a decline in medical tourism spending (foreigners' skin-care spending in Korea in 3Q came to KRW360b, which is up 20% y-y but down 19% q-q). Its medical-device export sales likely rose to KRW33.2b (+69.6% y-y, +3.2% q-q), showing modest growth in Asia (*eg*, Japan, Singapore, and Indonesia) and Western Europe, where demand has stabilized despite the won's appreciation. Despite the high base (related to various promotions in 2Q), its domestic cosmetics sales likely reached KRW17.2b (+30% y-y, +3.9% q-q) on stable domestic consumption. Exports of cosmetics likely amounted to KRW39.3b (+78.9% y-y, -9.9% q-q) thanks to its clients entering new retail channels overseas (*eg*, Olive Young in the US, Sephora in Singapore, and Mannings in Hong Kong). Excluding the one-off early shipment to Eastern Europe in 2Q (around KRW5b), its cosmetic exports would have expanded q-q.

(Continued on the next page)

SUMMARY FINANCIAL DATA

	2025	2026E	2027E	2028E
Revenue (KRWb)	536	682	852	1,000
Operating profit (KRWb)	214	251	325	391
Net profit (adj) (KRWb)	168	208	270	329
EPS (adj) (KRW)	14,209	17,951	23,316	28,380
EPS (adj) growth (% y-y)	65.1	26.3	29.9	21.7
EBITDA margin (%)	42.9	39.3	39.8	40.4
ROE (%)	26.9	26.8	28.0	27.5
P/E (adj) (x)	28.4	14.7	11.3	9.3
P/B (x)	6.8	3.6	2.9	2.3
EV/EBITDA (x)	17.1	8.9	6.4	4.8
Dividend yield (%)	0.9	1.9	2.5	3.0

Source: Company data, Samsung Securities estimates

Key re-rating catalyst—restoring operating leverage after business expansion: We revise down our full-year 2026 operating profit forecast by 10% and our 2027 estimate by 11% to reflect the strong won trend and costs stemming from the expansion of its overseas cosmetics business (*eg*, marketing costs and commission paid to platforms). We also cut our target price (based on a 12-month forward EBITDA) to KRW400,000, factoring in a drop in the sector-wide valuation multiple (the medical-aesthetic sector's average P/E now stands at 12.5x, Bloomberg). While the company's strategy of expanding into new businesses under established brands is a positive differentiator, its cosmetics business faces higher cost burdens than its medical device business (it relies on distributor networks, which have limited downstream expenses). The cosmetics business requires the company to supply major online and offline channels directly, making the manifestation of operating leverage critical. Additionally, with the cosmetics industry's valuation trending down, the firm's ability to sustain operating margins in the high 30% range should prove pivotal for any re-rating.

3Q preview

(KRWb)	3Q26E	2Q26	3Q25	Consensus	Diff (%)		
					(% q-q)	(% y-y)	Consensus
Sales	171.9	178.7	135.4	181.5	(3.8)	26.9	(5.3)
Operating profit	62.8	66.5	61.9	72.9	(5.6)	1.5	(13.9)
Pre-tax profit	64.1	74.1	64.8	75.7	(13.4)	(1.1)	(15.3)
Net profit	51.0	56.6	49.0	59.5	(9.9)	4.1	(14.3)
Margins (%)							
Operating profit	36.5	37.2	45.7	40.2			
Pre-tax profit	37.3	41.4	47.9	41.7			
Net profit	29.6	31.7	36.2	32.8			

Source: FnGuide, Samsung Securities estimates

PharmaResearch: Valuation

(KRWb)	Calculation	Value
Forward EBITDA	(A = B x D + C x (1 - D))	325.1
2026E EBITDA	(B)	268
2027E EBITDA	(C)	340
2026 weighting	(D)	20%
Target EV/EBITDA multiple* (x)	(E)	12.5
Enterprise value	(F = A x E)	4,063.5
Net debt	(G)	-562.4
Equity value	(H = F - G)	4,625.9
Shares outstanding ('000)	(I)	11,565
Fair value per share (KRW)	(H/I)	399,977
Target price (KRW)		400,000

Note: *Global medical aesthetics peer average (Medicube, Hugel, Classys, Wontech, Evolus, Galderma)
Source: Bloomberg, Samsung Securities estimates

PharmaResearch: Results and forecasts (consolidated)

(KRWb)	2025	2026E	2027E	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E
Sales	**536.3**	**681.7**	**852.3**	**74.7**	**83.1**	**89.2**	**103.1**	**116.9**	**140.6**	**135.4**	**143.3**	**146.1**	**178.7**	**171.9**	**185.0**
Pharmaceuticals	**82.5**	**79.0**	**98.0**	**16.3**	**18.1**	**16.1**	**14.2**	**17.2**	**20.5**	**22.0**	**22.9**	**21.4**	**18.4**	**19.3**	**19.9**
Domestic	51.1	45.9	54.2	10.1	9.6	10.0	8.7	10.6	13.4	13.3	13.7	11.2	10.7	11.7	12.3
Exports	31.5	33.1	43.8	6.2	8.5	6.1	5.5	6.6	7.0	8.6	9.2	10.2	7.7	7.5	7.6
Medical devices	**314.4**	**370.3**	**453.4**	**38.4**	**43.0**	**50.7**	**61.5**	**69.5**	**85.0**	**76.7**	**83.2**	**79.5**	**96.7**	**93.7**	**100.3**
Domestic	225.9	247.6	282.8	28.1	31.4	36.0	41.9	48.3	60.7	57.2	59.7	58.4	64.5	60.5	64.2
Exports	88.6	122.7	170.7	10.3	11.6	14.7	19.6	21.2	24.3	19.6	23.6	21.1	32.2	33.2	36.1
Asia	61.0	67.6	86.0					16.7	17.0	12.7	14.6	11.4	17.7	18.8	19.7
Europe/Oceania	24.2	46.1	73.3					4.2	6.6	5.9	7.5	7.4	12.6	12.1	14.0
Middle East	2.2	6.8	8.2					0.2	0.5	0.8	0.7	2.1	1.3	1.6	1.8
Americas	1.2	2.2	3.2					0.0	0.2	0.2	0.7	0.2	0.6	0.6	0.7
Cosmetics	**131.5**	**221.4**	**289.6**	**17.7**	**19.9**	**16.9**	**22.8**	**27.9**	**30.8**	**35.2**	**37.6**	**42.2**	**60.2**	**56.5**	**62.6**
Domestic	47.2	67.4	89.0	8.2	7.9	5.9	8.8	10.7	11.3	13.2	12.0	15.3	16.6	17.2	18.3
Exports	84.3	154.0	200.6	9.5	12.0	11.1	14.0	17.2	19.5	21.9	25.6	26.9	43.6	39.3	44.3
Asia	46.1	75.8	94.7					10.9	10.5	11.6	13.1	12.4	19.6	20.6	23.2
Europe/Oceania	31.4	63.6	83.7					5.5	8.4	9.0	8.5	12.9	16.6	16.3	17.8
Middle East	6.9	13.4	20.9					0.9	0.6	1.3	4.1	1.3	7.0	2.0	3.1
Americas	0.0	1.2	1.3					0.0	0.0	0.0	0.0	0.3	0.4	0.2	0.3
Other	7.2	11.0	11.2	2.3	2.3	5.5	4.2	2.4	4.4	1.5	-1.0	3.0	3.5	2.4	2.2
Gross profit	**411.2**	**522.1**	**649.7**	**51.8**	**59.2**	**64.6**	**75.7**	**85.4**	**107.2**	**109.1**	**109.4**	**112.9**	**137.5**	**130.9**	**140.8**
Operating profit	**214.4**	**251.0**	**324.8**	**26.7**	**30.8**	**34.9**	**33.7**	**44.7**	**55.9**	**61.9**	**51.9**	**57.3**	**66.5**	**62.8**	**64.5**
Pre-tax profit	**216.5**	**272.2**	**346.1**	**23.3**	**38.0**	**31.0**	**23.6**	**45.9**	**55.8**	**64.8**	**49.9**	**68.0**	**74.1**	**64.1**	**66.1**
Net profit (controlling)	**165.1**	**207.6**	**269.7**	**17.2**	**31.4**	**24.7**	**18.7**	**36.2**	**47.4**	**49.0**	**32.6**	**47.6**	**56.6**	**51.0**	**52.5**
Growth (% y-y)															
Sales		***27.1***	***25.0***	***34.8***	***24.4***	***29.7***	***47.3***	***56.5***	***69.2***	***51.8***	***39.1***	***25.0***	***27.1***	***26.9***	***29.0***
Pharmaceuticals		***-4.3***	***24.1***	***32.7***	***33.7***	***8.5***	***3.2***	***5.4***	***13.1***	***36.4***	***61.7***	***24.7***	***-10.0***	***-12.3***	***-13.3***
Domestic		*-10.2*	*18.1*	*30.3*	*13.9*	*10.1*	*5.2*	*4.7*	*40.5*	*32.9*	*58.5*	*5.5*	*-20.3*	*-12.1*	*-10.6*
Exports		*5.2*	*32.5*	*36.6*	*66.2*	*5.8*	*0.0*	*6.6*	*-17.5*	*42.0*	*66.9*	*55.4*	*9.6*	*-12.7*	*-17.4*
Medical devices		***17.8***	***22.5***	***27.2***	***24.2***	***46.8***	***67.1***	***81.0***	***97.6***	***51.5***	***35.3***	***14.5***	***13.8***	***22.1***	***20.5***
Domestic		*9.6*	*14.2*	*41.7*	*36.0*	*45.4*	*53.5*	*71.9*	*93.4*	*58.7*	*42.5*	*20.9*	*6.2*	*5.8*	*7.5*
Exports		*38.5*	*39.1*	*-0.7*	*0.5*	*50.4*	*105.9*	*105.9*	*109.1*	*33.7*	*20.0*	*-0.1*	*32.6*	*69.6*	*53.5*
Asia		*10.8*	*27.1*									*-31.7*	*4.2*	*48.0*	*34.7*
Europe/Oceania		*90.6*	*58.9*									*74.9*	*91.6*	*106.3*	*86.3*
Middle East		*214.0*	*20.5*									*1,011*	*165.2*	*109.8*	*148.3*
Americas		*84.5*	*50.2*									*899.4*	*165.2*	*216.3*	*-4.2*
Cosmetics		***68.4***	***30.8***	***61.1***	***18.1***	***0.3***	***48.6***	***57.5***	***54.7***	***108.1***	***65.2***	***51.0***	***95.6***	***60.5***	***66.4***
Domestic		*42.8*	*32.1*	*27.4*	*-14.4*	*-23.3*	*29.1*	*29.8*	*42.7*	*126.4*	*36.7*	*43.3*	*47.0*	*30.0*	*52.5*
Exports		*82.7*	*30.2*	*109.2*	*57.4*	*19.8*	*64.0*	*81.6*	*62.7*	*98.5*	*83.0*	*55.8*	*123.6*	*78.9*	*72.9*
Asia		*64.5*	*24.9*									*13.8*	*86.4*	*77.5*	*77.4*
Europe/Oceania		*102.8*	*31.7*									*133.7*	*97.6*	*81.6*	*110.3*
Middle East		*95.8*	*55.6*									*55.8*	*1,093*	*54.9*	*-24.7*
Americas		*nm*	*5.0*									*nm*	*nm*	*n/a*	*n/a*
Other		*52.1*	*2.0*	*38.5*	*28.4*	*114.7*	*2.8*	*1.5*	*90.3*	*-72.6*	*n/a*	*25.8*	*-21.5*	*61.1*	*n/a*
Gross profit		***27.0***	***24.4***	***28.1***	***18.8***	***27.6***	***53.1***	***65.0***	***81.0***	***69.0***	***44.6***	***32.2***	***28.3***	***19.9***	***28.6***
Operating profit		***17.1***	***29.4***	***28.6***	***30.1***	***27.0***	***65.4***	***67.7***	***81.7***	***77.2***	***54.1***	***28.1***	***19.0***	***1.5***	***24.2***
Pre-tax profit		***25.7***	***27.1***	***1.9***	***63.1***	***-9.5***	***16.1***	***97.6***	***47.1***	***108.9***	***111.7***	***48.0***	***32.7***	***-1.1***	***32.3***
Net profit (controlling)		***25.7***	***29.9***	***-2.6***	***87.6***	***-7.4***	***21.3***	***109.8***	***51.0***	***98.1***	***74.2***	***31.5***	***19.3***	***4.1***	***61.2***
Margins (%)															
Gross profit	**76.7**	**76.6**	**76.2**	**69.3**	**71.3**	**72.4**	**73.4**	**73.1**	**76.2**	**80.6**	**76.3**	**77.3**	**77.0**	**76.1**	**76.1**
Operating profit	**40.0**	**36.8**	**38.1**	**35.7**	**37.0**	**39.1**	**32.7**	**38.3**	**39.7**	**45.7**	**36.2**	**39.2**	**37.2**	**36.5**	**34.9**
Pre-tax profit	**40.4**	**39.9**	**40.6**	**31.1**	**45.7**	**34.8**	**22.9**	**39.3**	**39.7**	**47.9**	**34.8**	**46.6**	**41.4**	**37.3**	**35.7**
Net profit (controlling)	**30.8**	**30.5**	**31.6**	**23.1**	**37.8**	**27.7**	**18.1**	**30.9**	**33.7**	**36.2**	**22.7**	**32.6**	**31.7**	**29.6**	**28.4**

Source: Company data, Samsung Securities estimates

Income statement

Year-end Dec 31 (KRWb)	2024	2025	2026E	2027E	2028E
Sales	**350**	**536**	**682**	**852**	**1,000**
Cost of goods sold	99	125	160	203	237
Gross profit	**251**	**411**	**522**	**650**	**763**
Gross margin (%)	71.8	76.7	76.6	76.2	76.3
SG&A expenses	125	197	271	325	372
Operating profit	**126**	**214**	**251**	**325**	**391**
Operating margin (%)	36.0	40.0	36.8	38.1	39.1
Non-operating gains (losses)	**-10**	**2**	**21**	**21**	**30**
Financial profit	25	30	44	32	41
Financial costs	41	21	20	11	11
Equity-method gains (losses)	6	0	0	0	0
Other	-0	-7	-3	0	0
Pre-tax profit	**116**	**217**	**272**	**346**	**421**
Taxes	27	48	64	76	93
Effective tax rate (%)	23.2	22.3	23.7	22.0	22.0
Profit from continuing operations	89	168	208	270	329
Profit from discontinued operations	0	0	0	0	0
Net profit	**89**	**168**	**208**	**270**	**329**
Net margin (%)	25.4	31.4	30.5	31.7	32.8
Net profit (controlling interests)	92	165	208	270	328
Net profit (non-controlling interests)	-3	3	0	0	0
EBITDA	140	230	268	340	404
EBITDA margin (%)	39.9	42.9	39.3	39.8	40.4
EPS (parent-based) (KRW)	8,608	14,209	17,951	23,316	28,380
EPS (consolidated) (KRW)	8,319	14,478	17,969	23,339	28,407
Adjusted EPS (KRW)*	8,608	14,209	17,951	23,316	28,380

Balance sheet

Year-end Dec 31 (KRWb)	2024	2025	2026E	2027E	2028E
Current assets	**555**	**760**	**866**	**1,107**	**1,394**
Cash & equivalents	165	176	200	289	444
Accounts receivable	38	44	57	72	84
Inventories	57	83	107	133	157
Other current assets	293	457	502	613	709
Fixed assets	**301**	**284**	**384**	**381**	**379**
Investment assets	88	51	100	112	123
Tangible assets	147	175	235	224	214
Intangible assets	33	31	27	24	21
Other long-term assets	32	27	22	22	22
Total assets	**856**	**1,044**	**1,249**	**1,489**	**1,773**
Current liabilities	**83**	**110**	**138**	**165**	**194**
Accounts payable	11	11	15	19	22
Short-term debt	0	0	0	0	0
Other current liabilities	71	99	123	147	172
Long-term liabilities	**203**	**210**	**219**	**221**	**223**
Bonds & long-term debt	1	0	0	0	0
Other long-term liabilities	202	209	219	221	223
Total liabilities	**286**	**320**	**358**	**387**	**417**
Owners of parent equity	**539**	**689**	**857**	**1,067**	**1,321**
Capital stock	5	5	5	5	5
Capital surplus	197	194	194	194	194
Retained earnings	343	492	659	871	1,125
Other	-6	-2	-1	-3	-3
Non-controlling interests' equity	**30**	**35**	**35**	**35**	**35**
Total equity	**569**	**724**	**892**	**1,102**	**1,356**
Net debt	-197	-290	-403	-603	-849

Cash flow statement

Year-end Dec 31 (KRWb)	2024	2025	2026E	2027E	2028E
Cash flow from operations	**138**	**183**	**211**	**272**	**330**
Net profit	89	168	208	270	329
Non-cash profit and expenses	61	66	67	69	75
Depreciation	10	11	13	11	10
Amortization	4	4	4	3	3
Other	47	50	49	55	62
Changes in A/L from operating activities	0	-25	-5	-12	-10
Cash flow from investments	**-226**	**-156**	**-123**	**-108**	**-94**
Change in tangible assets	-36	-30	-63	0	0
Change in financial assets	-180	-90	-98	-109	-94
Other	-10	-37	38	1	1
Cash flow from financing	**183**	**-15**	**-46**	**-61**	**-73**
Change in debt	179	4	8	-4	2
Change in equity	22	-4	-0	0	0
Dividends	-10	-12	-43	-57	-74
Other	-9	-4	-11	0	-0
Change in cash	98	10	24	89	154
Cash at beginning of year	67	165	176	200	289
Cash at end of year	165	176	200	289	444
Gross cash flow	**150**	**234**	**274**	**339**	**403**
Free cash flow	**102**	**153**	**148**	**272**	**330**

Financial ratios

Year-end Dec 31	2024	2025	2026E	2027E	2028E
Growth (%)					
Sales	34.1	53.2	27.1	25.0	17.3
Operating profit	36.6	70.1	17.1	29.4	20.4
Net profit	15.1	89.2	23.5	29.9	21.7
Adjusted EPS**	15.1	65.1	26.3	29.9	21.7
Per-share data (KRW)					
EPS (parent-based)	8,608	14,209	17,951	23,316	28,380
EPS (consolidated)	8,319	14,478	17,969	23,339	28,407
Adjusted EPS**	8,608	14,209	17,951	23,316	28,380
BVPS	46,640	59,603	74,113	92,273	114,215
DPS (common)	1,100	3,700	5,000	6,495	7,905
Valuations (x)					
P/E***	30.5	28.4	14.7	11.3	9.3
P/B***	5.6	6.8	3.6	2.9	2.3
EV/EBITDA	18.6	17.1	8.9	6.4	4.8
Ratios (%)					
ROE	18.9	26.9	26.8	28.0	27.5
ROA	12.8	17.7	18.1	19.7	20.1
ROIC	44.5	70.1	66.3	78.2	94.4
Payout ratio	12.4	23.3	25.0	25.0	25.0
Dividend yield (common)	0.4	0.9	1.9	2.5	3.0
Net debt to equity	-34.6	-40.0	-45.1	-54.7	-62.6
Interest coverage (x)	27.2	20.6	23.5	30.1	36.4

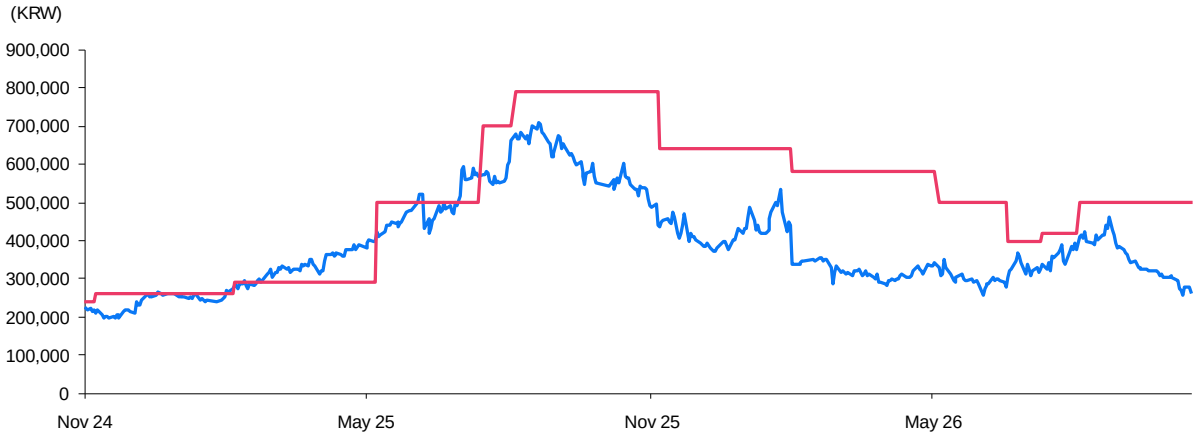
Note: *Excluding one-off items
**Fully diluted, excluding one-off items
***From companies subject to equity-method valuation

Source: Company data, Samsung Securities estimates

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Target price changes in past two years



Rating changes over past two years (adjusted share prices)

Date	2024/9/6	11/14	2025/2/11	5/14	7/21	8/11	11/12	2026/2/5	5/11	6/24	7/16	8/10
Recommendation	BUY	BUY	HOLD	BUY	BUY	BUY	BUY	BUY	BUY	BUY	BUY	BUY
Target price (KRW)	240000	260000	290000	500000	700000	790000	640000	580000	500000	400000	420000	500000
Gap* (average)	-11.50	-8.18	15.36	-2.42	-17.83	-24.23	-32.93	-44.87	-40.37	-16.45	-13.67	-29.29
(max or min)**	-1.88	5.19	38.45	18.80	-5.14	-10.00	-16.56	-38.53	-29.80	-8.38	-6.07	-7.70

Date	10/21
Recommendation	BUY
Target price (KRW)	400000
Gap* (average)	
(max or min)**	

Note: * [(average, maximum, or minimum share price over duration of target price minus target price) / target price] x 100%
** Maximum/minimum share price if new target is higher/lower than market close on the business day prior to target price change

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Company

BUY	Expected to increase in value by 15% or more within 12 months and is highly attractive within sector
HOLD	Expected to increase/decrease in value by less than 15% within 12 months
SELL	Expected to decrease in value by 15% or more within 12 months

Industry

OVERWEIGHT	Expected to outperform market by 5% or more within 12 months
NEUTRAL	Expected to outperform/underperform market by less than 5% within 12 months
UNDERWEIGHT	Expected to underperform market by 5% or more within 12 months

* Note: Effective Jul 27, 2023, BUY, HOLD, and SELL criteria are based on expectations of share-price moves of 15% or more within 12 months

Percentage of ratings in 12 months prior to 2026.09.30

BUY(86.3%)·HOLD(13.7%)·SELL(0%)

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